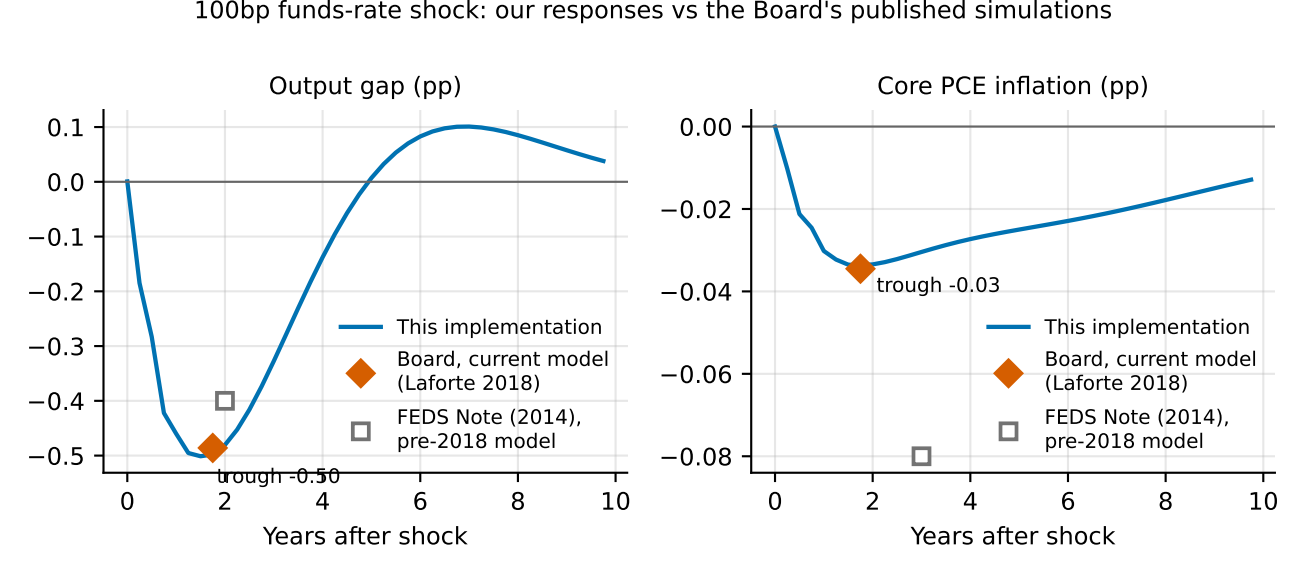
100bp funds-rate shock: our responses vs the Board's published simulations
Output gap (pp)
0.1
0.0
−0.1
−0.2
−0.3
−0.4
−0.5
trough -0.50
This implementation
Board, current model
(Laforte 2018)
FEDS Note (2014),
pre-2018 model
0
2
4
6
8
10
Years after shock
Core PCE inflation (pp)
0.00
−0.02
−0.04
−0.06
−0.08
trough -0.03
This implementation
Board, current model
(Laforte 2018)
FEDS Note (2014),
pre-2018 model
0
2
4
6
8
10
Years after shock